

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

C.V. INT'L SERVICES LLC, *INTENT TO DENY AN OCEAN
TRANSPORTATION INTERMEDIARY APPLICATION*

DOCKET NO. 22-10

Served: July 26, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge.*

INITIAL DECISION DENYING OCEAN TRANSPORTATION INTERMEDIARY LICENSE¹

I. INTRODUCTION

A. Summary

On July 14, 2021, C.V. Int'l Services LLC ("C.V. Int'l") applied for an ocean transportation intermediary ("OTI") license with the Federal Maritime Commission ("FMC" or "Commission"). On March 11, 2022, the Commission's Bureau of Certification and Licensing ("BCL") notified C.V. Int'l that the Commission intended to deny its OTI license on the basis that C.V. Int'l lacks the necessary character to render ocean transportation intermediary services under the Commission's regulations at 46 C.F.R. § 515.11. On March 28, 2022, C.V. Int'l requested a hearing on the proposed revocation pursuant to the Commission's regulations at 46 C.F.R. § 515.17 and 46 C.F.R. Part 502, Subpart X. In accordance with the provisions of 46 C.F.R. § 502.702(a), the Secretary of the Commission assigned this proceeding to the Office of Administrative Law Judges ("OALJ") for adjudication.

As required under the Commission's Rules at Subpart X, BCL and the Commission's Bureau of Enforcement ("BOE") were notified that C.V. Int'l had requested a hearing, and BOE was ordered to serve a copy of the denial notice and materials supporting the denial notice. BOE filed the required documents on May 12, 2022. C.V. Int'l was then informed that it had a right to file a response within thirty days of BOE's submission. C.V. Int'l failed to file a response or to participate any further in the proceeding, despite a reminder from OALJ. BOE subsequently submitted a reply brief in support of its argument that C.V. Int'l's license application should be denied for lack of the necessary character to hold a license under section 40903 of the Shipping Act of 1984, 46 U.S.C. § 40903. As a result of C.V. Int'l's failure to submit any evidence to support its request for a hearing, the evidence of record consists solely of the materials submitted by BOE.

¹ This initial decision will become final within 22 days of service in the absence of exceptions filed by either party or review by the Commission. 46 C.F.R. § 502.708(c).

As discussed below in greater detail, the evidence provided by BOE supports a finding that C.V. Int'l's application for an OTI license should be denied, and no evidence in the record contradicts or disproves that evidence. C.V. Int'l's application for an OTI license is therefore denied.

II. BACKGROUND

A. Factual Allegations

Applicant is a Florida limited liability company with its principal place of business in the State of Florida, operating under the name C.V. Int'l Services LLC doing business as C.V. Int'l Ocean Services. BOE 7², BOE 135. On July 14, 2021, BCL received an FMC Form-18 application on behalf of C.V. Int'l. Verified Statement of Michael Sumrall ("Sumrall Verified Statement") at 1. Mr. Christian Velazquez is C.V. Int'l's proposed qualifying individual ("QI"); BOE 7. The deficiencies in C.V. Int'l's application for an OTI license, as described by BCL, are summarized as follows:

On or about July 15, 2021, a standard background check, "Accurint," was conducted. The Accurint report revealed Velazquez, CV Int'l's proposed QI, has a felony conviction for trafficking in cocaine and has other unrelated, but relevant, criminal acts/arrests. None of this information was disclosed in the applicant's FMC-18. BOE Exhibit 5, FMC-18 at BOE 0007-0018; BOE Exhibit 12, Federal Criminal Court Records Search at BOE 0145-0172.

On or about July 15, 2021, an Acknowledgement Letter was sent to Velazquez via the FMC18 Message Center requesting, among other things, the declaration of all prior criminal convictions and a request for documentation demonstrating the resolution of all prior criminal convictions. BOE Exhibit 6, FMC-18 Correspondence Log at BOE 0100-0101. *See also* Attachment A, BCL Applicant Acknowledgement Letter.

On or about July 15, 2021, Velazquez submitted a revised FMC-18 for C.V. Int'l. In the revised application no prior criminal conviction or activity was disclosed. BOE Exhibit 5, FMC-18 at BOE 0019-0031; BOE Exhibit 6, FMC-18 Correspondence Log at BOE 0101.

On or about July 23, 2021, [BCL] requested Velazquez to update information. Among other things, [BCL] asked that he indicate all prior criminal convictions. BOE Exhibit 6, FMC-18 Correspondence Log at BOE 0102.

On or about July 29, 2021, Velazquez submitted a revised FMC-18 for C.V. Int'l. In the updated application no prior criminal convictions were disclosed. BOE Exhibit 5, FMC-18 at BOE 0032-0044; BOE Exhibit 6, FMC-18 Correspondence Log at BOE 0103.

² Citations to BOE # are to the bates page numbers in BOE's Submission of Materials Supporting Notice of Denial.

On or about August 4, 2021, Velazquez updated CV Int'l's application via the message center. He specifically addressed prior criminal activity, stating, *"I have never been convicted of anything. I have just have been arrested for some things in the past, and dismissed in court."* Additionally, he provided court documents relating to criminal activity in Miami-Dade County, FL. BOE Exhibit 6, FMC-18 Correspondence Log (BOE 0104). Exhibit 14: Criminal Charges 11th Judicial Circuit Miami-Dade County, FL – Applicant (BOE 191-194).

Sumrall Verified Statement at 2, ¶¶ 7-13 (paragraph numbering omitted).

Subsequent efforts by BCL to obtain from C.V. Int'l an updated application correcting the deficiencies in C.V. Int'l's FMC-18 Application and disclosing all crimes for which Mr. Velazquez has been charged or convicted were unsuccessful. Sumrall Verified Statement at 2-3, ¶¶ 14-24. As a result of these events, as well as C.V. Int'l's failure to respond to multiple FMC requests for information, BCL notified Mr. Velazquez that it intended to deny C.V. Int'l's OTI application.

B. Procedural History

On March 31, 2022, the Secretary of the Commission issued a Notice of Hearing Request and Assignment, noting that on March 11, 2022, BCL had notified C.V. Int'l by letter that the Commission intended to deny C.V. Int'l's OTI license. The Secretary also noted that on March 28, 2022, C.V. Int'l had requested a hearing on the proposed denial pursuant to the Commission's Rules at 46 C.F.R. § 515.17 and 46 C.F.R. Part 502, Subpart X. Pursuant to Rule 702(a), the Secretary assigned this proceeding to OALJ for adjudication. 46 C.F.R. § 502.702(a).

On April 12, 2022, as required under Rule 702(b), a Notice and Initial Order ("Initial Order") was issued, notifying BCL and BOE that C.V. Int'l had requested a hearing and directing BOE to file by May 12, 2022, a copy of the notice given to C.V. Int'l and BCL's materials supporting the notice. 46 C.F.R. § 502.702(b). The Initial Order also stated that "BOE may file a brief with legal arguments, proposed findings of fact, or additional information, including requests for confidential treatment." Initial Order at 1.

On May 12, 2022, BOE filed a Notice of Appearance, Submission of Materials Supporting Notice of Revocation, and an Appendix containing 24 exhibits. On May 18, 2022, pursuant to Rule 703 (46 C.F.R. § 502.703), a Notice of Right to Respond was issued, stating in pertinent part:

Pursuant to Rule 703, C.V. Int'l Services LLC ("C.V. Int'l") is hereby notified of its right to file a response to the May 12, 2022, filing. 46 C.F.R. § 502.703. C.V. Int'l may file a brief with legal arguments, proposed findings of fact, additional information, and any requests for confidential treatment as well as an appendix with supporting documents. C.V. Int'l's response is due on June 17, 2022. 46 C.F.R. § 502.703(a).

Pursuant to Rule 704, BOE may file a reply brief within twenty days of C.V. Int'l's filing. 46 C.F.R. 502.704. This notice serves as BOE's notification of its right to file a reply.

Notice of Right to Respond at 1.

No materials or any further communication was received from C.V. Int'l. Therefore, on June 22, 2022, OALJ sent an email to C.V. Int'l, copying BOE and stating: "The Judge expected to receive a filing from C.V. Int'l Services on June 17, 2022. If additional time is needed, a motion requesting an extension must be filed. Any filings should be copied to this email address." C.V. Int'l did not respond to the email from OALJ and no submissions or communications have been received from C.V. Int'l to date.

On July 7, 2022, BOE filed a reply brief and the Sumrall Verified Statement with attachments. BOE argues that a denial of C.V. Int'l's OTI license based on C.V. Int'l's character is warranted by the Shipping Act of 1984, Commission regulations, and established legal precedent. As previously noted, due to C.V. Int'l's failure to submit any arguments or evidence in the proceeding, the evidence of record consists solely of the materials submitted by BOE.

III. DISCUSSION

A. BOE's Arguments

BOE submitted 24 exhibits and a verified statement by Michael P. Sumrall, an industry analyst at BCL, in support of its contention that denial of C.V. Int'l's OTI license is warranted. BOE argues that denial of C.V. Int'l's OTI license should be upheld because C.V. Int'l lacks the necessary character to provide OTI services in the United States as the evidence demonstrates that C.V. Int'l's principal and proposed QI, Mr. Velazquez, lacks the necessary character to hold a license under section 40903 of the Shipping Act due to his failures to disclose his "no contest" plea to trafficking of cocaine and "other" criminal activity in C.V. Int'l's OTI license application and for repeatedly making misleading statements to BCL, as well as his failure to correct C.V. Int'l's Form FMC-18 and to provide accurate and truthful information despite several opportunities that he was provided to do so. BOE Reply at 8. In addition, BOE asks that C.V. Int'l be directed to cease and desist any and all OTI activities. BOE Reply at 9.

B. Controlling Authority

An applicant seeking an OTI license must demonstrate that:

(a)(1) It possesses the necessary experience, that is, its qualifying individual has a minimum of three (3) years' experience in ocean transportation intermediary activities in the United States, and the necessary character to render ocean transportation intermediary services...

(a)(2) In addition to information provided by the applicant and its references, the Commission may consider all information relevant to determining whether an applicant has the necessary character to render ocean transportation intermediary services, including but not limited to, information regarding: Violations of any shipping laws, or statutes relating to the import, export, or transport of merchandise in international trade; operating as an OTI without a license or registration; state and federal felonies and misdemeanors...

46 C.F.R. § 515.11. The Commission shall conduct an investigation of the applicant's qualifications for a license. Such investigations may address:

- (a) The accuracy of the information submitted in the application;
- (b) The integrity and financial responsibility of the applicant;
- (c) The character of the applicant and its qualifying individual; and
- (d) The length and nature of the qualifying individual's experience in handling ocean transportation intermediary duties.

46 C.F.R. § 515.13.

The Shipping Act grants authority to deny an OTI's license application under certain conditions.

If the Commission determines, as a result of its investigation, that the applicant:

- (a) Does not possess the necessary experience or character to render intermediary services;
- (b) Has failed to respond to any lawful inquiry of the Commission; or
- (c) Has made any materially false or misleading statement to the Commission in connection with its application; then, a notice of intent to deny the application shall be sent to the applicant stating the reason(s) why the Commission intends to deny the application. The notice of intent to deny the application will provide, in detail, a statement of the facts supporting denial. An applicant may request a hearing on the proposed denial by submitting to the Secretary, Federal Maritime Commission, Washington, DC 20573, within twenty (20) days of the date of the notice, a statement of reasons why the application should not be denied. Such hearing shall be provided pursuant to the procedures contained in § 515.17. Otherwise, the denial of the application will become effective and the applicant shall be so notified.

46 U.S.C. § 515.15.

C. BOE Demonstrates that Denial of C.V. Int'l OTI License is Warranted

The materials and brief submitted by BOE support a finding that C.V. Int'l's application for an OTI license should be denied, and no evidence of record contradicts BOE's arguments or the materials BOE submitted in support of those arguments. The record shows that as part of a plea bargain, Mr. Velazquez pled no contest and was adjudicated and convicted of a felony on April 30, 2009. BOE 157, BOE 182. This felony conviction was not disclosed on C.V. Int'l's OTI license application even after BCL's request for additional information. BOE 0102-0104.

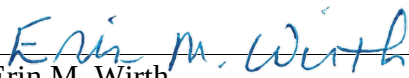
Therefore, the record supports denying C.V. Int'l's OTI license application because its QI, Mr. Velazquez, lacks the necessary character to provide OTI services in the United States due to his failure to disclose a felony conviction and failure to provide accurate and truthful information in the OTI license application. Therefore, C.V. Int'l does not meet the requirements of 46 C.F.R. § 515.11. Accordingly, C.V. Int'l's application for an OTI license is denied pursuant to 46 C.F.R. § 515.15.

IV. ORDER

Upon consideration of the evidence and arguments submitted by BOE, and for the reasons stated above, it is hereby

ORDERED that C.V. Int'l's application for an ocean transportation license be **DENIED**. It is

FURTHER ORDERED that C.V. Int'l cease and desist any and all ocean transportation intermediary activities.


Erin M. Wirth
Chief Administrative Law Judge